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US Economics Weekly | North America

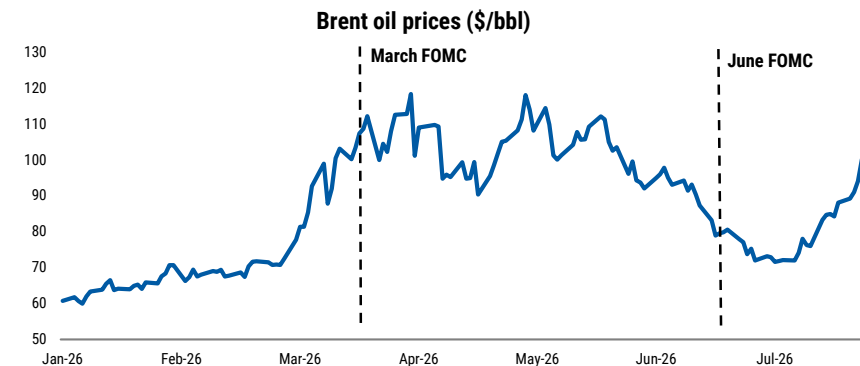
July FOMC: A question of patience

Recent data have strengthened the case for a patient Fed, with softer payrolls and easing inflation. We expect the Fed to keep rates on hold next week and through the remainder of the year. Risks remain skewed toward higher rates, particularly following the recent escalation in the Middle East.

Key Takeaways

- We expect the Fed to hold rates at 3.50–3.75% in July, with recent labor market and inflation data supporting a patient, wait-and-see approach.
- Labor market overheating concerns have eased and last CPI report suggests that, absent additional shocks, more disinflation might be in the pipeline.
- Upside risks to rates include persistently high oil prices, a more hawkish Fed reaction function, or stronger AI-driven investment lifting neutral rates.
- The temporary Section 122 tariff bridge expired earlier today, but we expect the broader tariff regime to remain, combining section 301 and 232 authorities.
- Our baseline remains that the statutory effective tariff rate converges toward ~10% by year-end, similar to levels before the expiration of section 122 tariffs.

Exhibit 1: Higher oil prices remain a risk to our outlook for disinflation



Source: Bloomberg, Morgan Stanley Research

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July FOMC: A question of patience

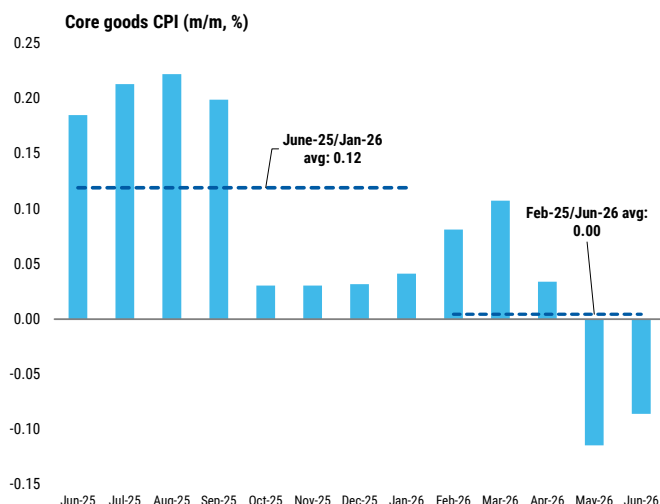
Despite a rebound in oil prices, hikes are less compelling

The question hanging over the July FOMC meeting is whether the Fed will display patience or whether it has run out of patience. We believe the former. At next week's meeting, we expect the Fed to keep the target range for the federal funds rate unchanged at 3.50-3.75%. Since the committee met in June, the bulk of incoming data supports patience, in our view. The June employment report revealed a moderation in hiring and saw downward revisions to prior months. The rebound in hiring early in the year remains evident, but now appears shorter lived than the as-reported data suggested. Nonfarm payrolls rose 57k on the month, and longer-term averages are about in line with our estimate of breakeven payroll growth (~50k per month), leaving the unemployment rate little changed at 4.2%. Wage growth in terms of average hourly earnings is up only 3.5% y/y. Risks to the labor market appear balanced to our eyes and concerns about overheating have diminished.

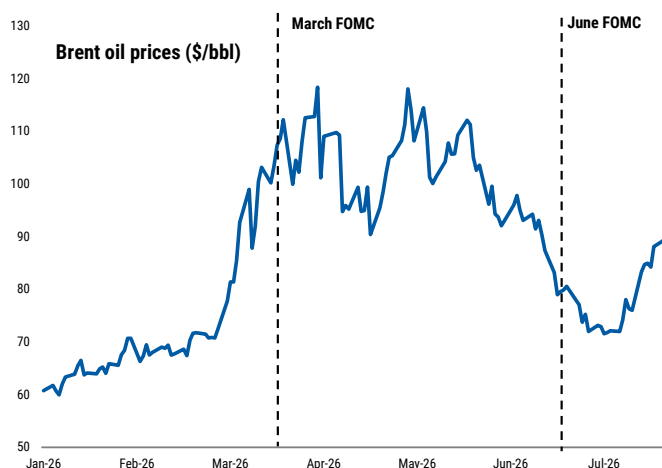
Recent inflation data suggest to us that disinflation has begun. Headline CPI prices declined 0.4% and core was flat. Our three drivers of disinflation — a reversal in energy prices, the end of tariff pass-through, and diminishing shelter inflation — all contributed to the soft print. The tariff pass-through to core goods prices has now been flat since February, providing a strong signal that the corporate sector has adequately adjusted prices to account for higher production costs. If so, our estimates suggest as much as 60-70bp of disinflation may be in the pipeline, providing an important source of disinflation. As we note below, we think the resolution of Section 232 and 301 reviews this week will move tariffs back to their IEEPA-based rates over time, but not above.

On net, we think the committee will read the data as we do and remain on hold in July. Inflation has shown enough improvement to buy more time and keep the Fed on the sideline. We think subsequent inflation prints will continue to point to disinflation — our m/m readings on core inflation in the second half of that year annualized close to 2.0% — and expect the Fed to remain on hold through year end.

That said, there are clear risks to our outlook in the direction of higher policy rates. First, the Fed could conclude the distribution of risks to the dual mandate favors a tighter policy stance. Second, our inflation forecast could be wrong and renewed escalation in the Middle East and the rebound in oil prices will lead to a higher oil risk premium outcome, boosting core inflation through second-round effects. Third, committee members may conclude that monetary policy is not restrictive with inelastic AI-related capital spending boosting neutral rates of interest. Fourth, Chairman Warsh may have a much more hawkish reaction function than we think. Will he seek to establish his inflation-fighting bona fides and bolster Fed independence with rate hikes now to help inflation converge to 2.0% more quickly? We do not think so, but we cannot rule it out. He has repeatedly said the Fed would achieve price stability, but has not said how that will be done. If we are wrong on the Fed in July, it is likely because the reaction function has changed and we are still thinking like the prior reaction function.

Exhibit 2: Core goods CPI reflects an end to tariff pass through

Source: BLS, Morgan Stanley Research.

Exhibit 3: Higher oil prices remain a risk to our outlook for disinflation

Source: Bloomberg, Morgan Stanley Research.

The hand-off in tariffs

The temporary Section 122 tariff bridge expired earlier today, but we expect the broader tariff regime to remain. The 10% surcharge was [limited to 150 days](#) and applied through 12:01 a.m. EDT on July 24. We expect that the tariff regime will now be a combination of the section 301 and 232 authorities. USTR has already issued findings and [proposed 10–12.5% duties](#) in the forced-labor Section 301 cases. The July 7–9 hearings [are complete](#), and the proposal has cleared the principal public-hearing stage, although USTR has not yet issued final action. USTR has also already completed a separate Section 301 investigation into Brazil, imposing 25% tariffs on non-exempt Brazilian imports effective July 22. The U.S. Department of Commerce has a [Section 232 pipeline](#) covering robotics and industrial machinery, medical products, wind turbines, unmanned aircraft systems and polysilicon. We therefore view today as a handoff rather than a tariff cliff: the procedural groundwork for new Section 301 action and additional sectoral Section 232 measures is advanced, but the timing, scope and interaction of those measures remain uncertain.

Our [baseline remains](#) that the statutory effective tariff rate converges toward roughly 10% by year-end. We expect Section 301 to carry a broad country-level floor, while Section 232 provides a more targeted sectoral overlay in strategic and capital-intensive goods. We also expect that while the statutory rate ends up in the 9–10% range, actual collections can differ because of exemptions, bilateral deals, refund timing and import composition, including the rising share of zero-tariff AI hardware. The replacement framework should also be more durable than the IEEPA/Section 122 regime: Sections 301 and 232 require investigations, findings and formal implementation processes, but neither faces Section 122's 150-day statutory sunset. The tariff regime is therefore less likely to carry legal and rollover risk, though not necessarily less implementation uncertainty.

Exhibit 4: Recent tariff authorities

Authority	Primary rationale	Typical scope	Process	Expected role in the tariff regime	Current example
Section 122 of the Trade Act of 1974	Fundamental balance-of-payments problems	Broad import surcharge or quota, generally applied uniformly	Tariff capped at 15%; maximum 150 days unless extended by Congress	Temporary bridge	10% surcharge expiring July 24
Section 301 of the Trade Act of 1974	Unjustifiable, unreasonable or discriminatory foreign practices that burden US commerce	Broad country- or practice-level action across goods and potentially services	USTR investigation, findings and public process; no explicit tariff-rate cap; actions subject to a four-year continuation process	Broad tariff baseline and country-specific enforcement	Proposed forced-labor baseline; 25% Brazil action
Section 232 of the Trade Expansion Act of 1962	Imports that threaten to impair national security	Product-, sector- and derivative-specific	Commerce report within 270 days; presidential determination and implementation process; response can include tariffs or negotiations	Strategic sectoral overlay	Metals, autos, semiconductors, pharma
Section 338 of the Smoot-Hawley Tariff Act of 1930	Foreign discrimination or unequal treatment that disadvantages US commerce	Country- and product-specific	Additional duties of up to 50%; at least 30 days before effectiveness; can be amended or escalated to import exclusion	Bilateral escalation and tail-risk tool	Recent Canada actions

Source: USTR, US Code, White House, Morgan Stanley Research

The US decision [not to extend USMCA](#) at the July 1 review does not itself change our [Public Policy team's view](#) on the year-end tariff baseline, as the agreement remains in force. But it moves the process into annual reviews. The [new Section 338 tariffs](#) only on Canada also do not materially alter our baseline tariff rate path, but they raise the uncertainty around it, especially as they break through the USMCA protection. The notice [imposes additional 50% duties](#) on nearly \$20 billion of selected Canadian imports beginning August 19, including USMCA-compliant goods, while excluding energy, potash, Section 232 goods and several other categories. We estimate that if imposed, these 50% duties would add ~0.2 percentage point to the aggregate tariff rate. While that is not enough to move our year-end baseline materially, the use of Section 338 adds a rapid, high-rate and country-specific tool with no fixed sunset. Both the USMCA moving into annual reviews, and the announcement of the 338 tariffs widen the range of outcomes for North American supply chains, creating more scope for future country- or product-specific escalation.

Oil Tracker: Price rise and inventory stabilization

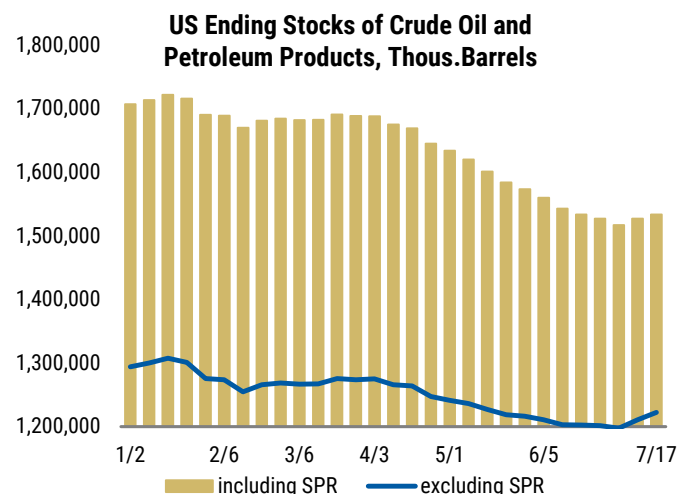
Since the Middle East conflict intensified a week ago, oil prices have risen. Only the price data here are reported since the recent re-escalation in the conflict. Next week's data on production, exports, and inventory could show responses to the new strains.

We continue to track the evolution of petroleum-product inventory and production. US stocks of crude oil and petroleum products, which represent the EIA's estimate of how many barrels of oil and petroleum products are physically sitting in US storage at period end, inched up from a low level. However, the stocks of crude oil in the Strategic Petroleum Reserve (SPR) fell to around 311 million barrels, its lowest level since April 1984. The Energy Department said the SPR's minimum inventory is determined by 'cavern mechanics,' which, when applied across the full system, translates to a conservative operational minimum of about 70 million barrels. If the SPR continues to decline at roughly its recent pace of 30 million barrels every four weeks, inventories would approach the operational minimum by the end of February 2027.

After the signing of the MOU between the US and Iran, the spot price of oil for immediate physical delivery approached its pre-conflict level. However, following the recent re-escalation, both spot prices and futures prices have risen meaningfully, renewing concerns about inflation.

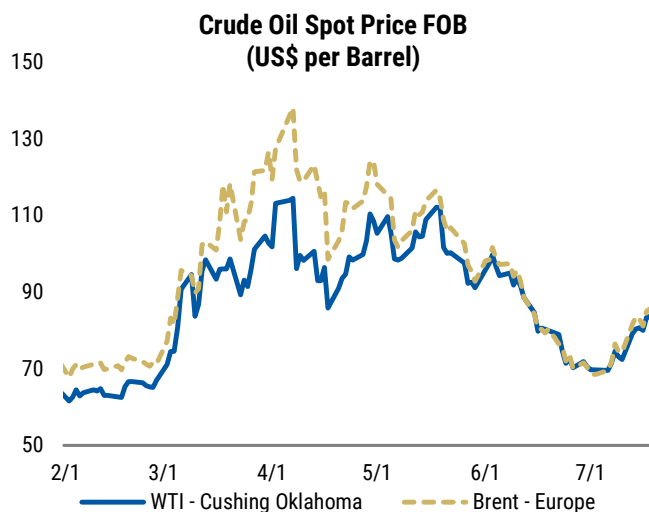
US domestic crude production has edged modestly higher in recent weeks. Net imports of oil and petroleum (imports - exports) initially declined as exports increased but have returned to earlier levels.

Exhibit 5: US ending stocks of crude oil and petroleum products edged up recently



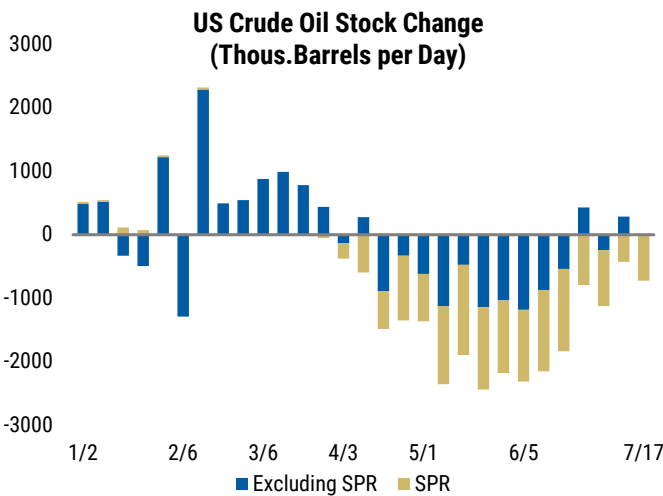
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 6: Following the recent re-escalation, the spot price of oil for immediate physical delivery has risen meaningfully.



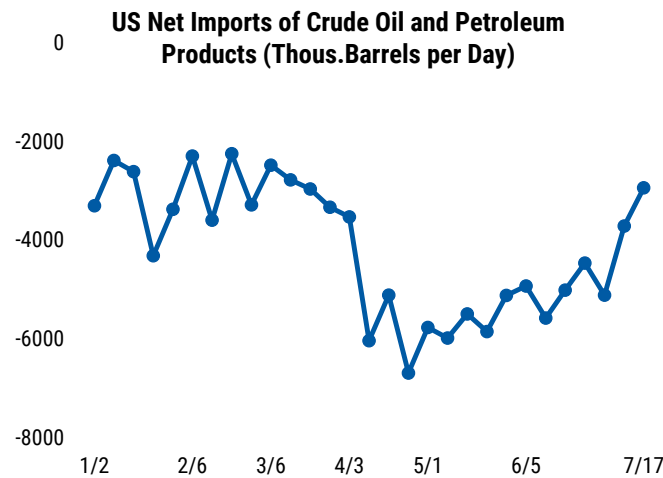
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 7: Including the SPR, US oil stocks are now falling only 1mn barrels per day



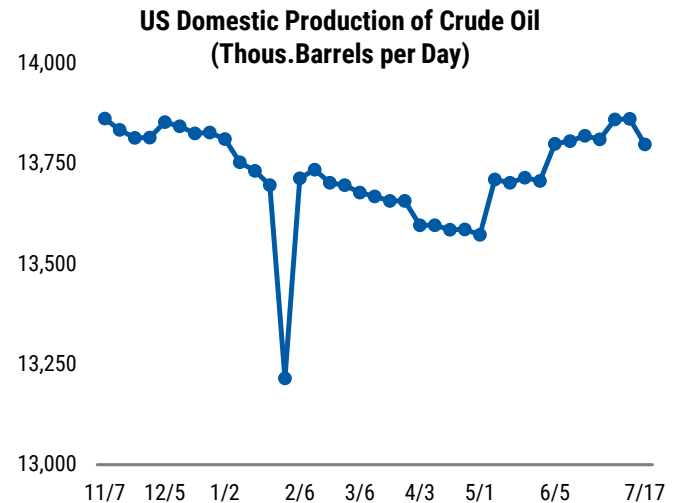
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 9: US exports of crude oil trended down over the past two months, pushing up net imports of crude oil and petroleum products



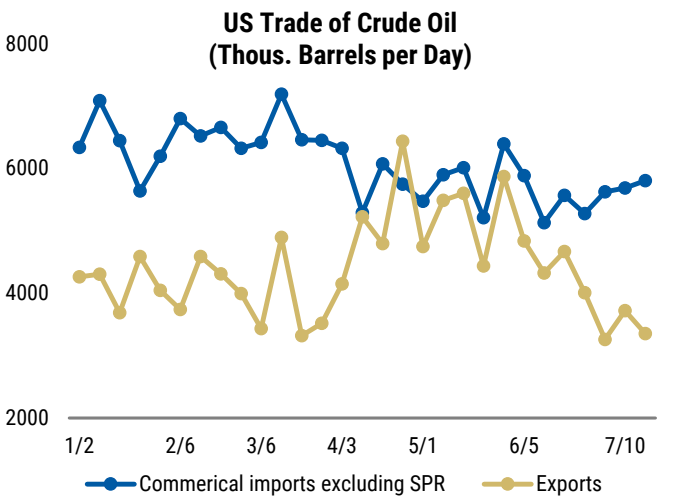
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 8: US domestic oil production has been rising gradually



Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 10: US exports of oil decelerated following the signing of the MOU



Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Financial Conditions: More restrictive

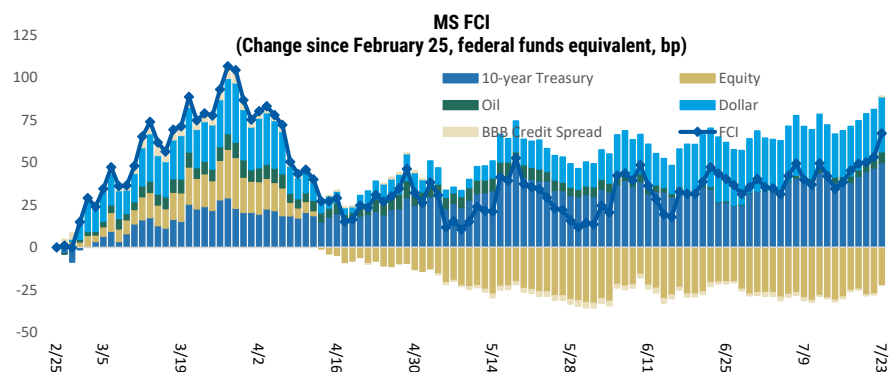
Following the conflict in the Middle East and the uncertainty it brings to the next steps for monetary policy, we include the evolution of our FRB/US-based model of financial conditions, which aims to capture how changes in asset prices weigh on future economic activity. The index includes five daily variables: the 10-year Treasury yield, S&P 500 returns, the corporate BBB credit spread, the valuation of the U.S. dollar, and the price of oil. These are aggregated based on their estimated growth elasticities relative to the federal funds rate, using the Federal Reserve's FRB/US model. As a result, the index can be interpreted as the equivalent change in the federal funds rate, expressed in basis points, required to generate a similar effect on economic activity.

Since hostilities in the Middle East began on February 28, the tightening in financial conditions is equivalent to about a 67bp rise in the federal funds rate. The tightening since February 28 reversed the easing seen earlier in the year, most of which was driven by a weaker U.S. dollar. The net tightening since February 28 has been driven mainly by a reversal in dollar weakness and higher 10-year U.S. Treasury yields.

The contribution from oil prices disappeared for a couple of weeks following the MOU between Iran and the U.S., but has now reappeared due to the recent re-escalation. Buoyant equity markets and credit spreads have offset some of the overall tightening.

Since the June FOMC meeting, financial conditions have tightened by almost 50 bp, primarily driven by higher 10-year Treasury yield and the U.S. dollar appreciation. (30 bp of that 50 bp in tightening happened in the past week.)

Exhibit 11: Financial conditions have tightened following the conflict in the Middle East



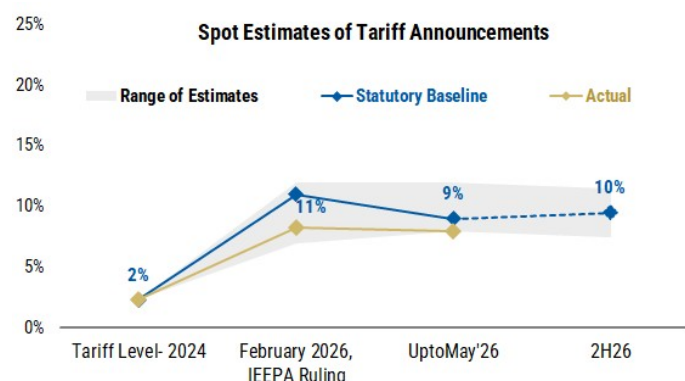
Source: Bloomberg, Morgan Stanley Research

The effective tariff rate, tariff receipts and refunds

The tariff rate on US imports has averaged 6.8% in the March - May 2026 data

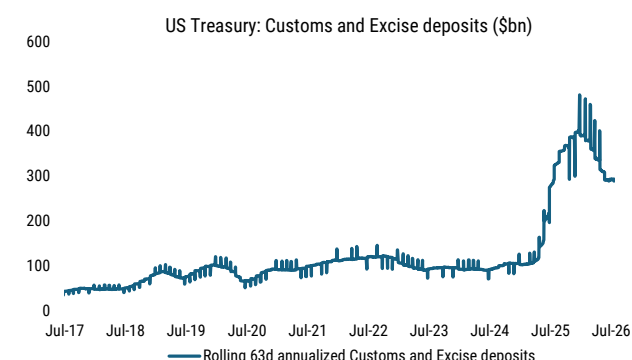
On February 20, 2026, the Supreme Court [struck down](#) the President's authority to impose tariffs under IEEPA. Section 122 tariffs replaced IEEPA tariffs in the short term, and these will expire today. [We estimate](#) the statutory effective tariff rate settles around 9-10% by year-end, with less dispersion than the original IEEPA regime. Given the shift in tariff authorities, we view the tariff structure as becoming more rules-based, but sector coverage, carve-outs, deals, exemptions, refund timing, and import composition still matter. In the May 2026 data, the effective tariff rate is estimated at ~6.9%, and over the past three months of trade data (March, April and May), the tariff rate averaged 6.8%.

Exhibit 12: US effective tariff rate



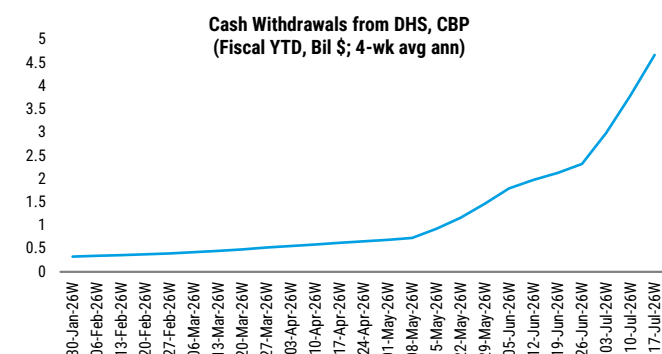
Source: US Census, US HTS, USITC, Morgan Stanley Research. The "Up to May '26" estimate is the average tariff rate on all imports over Jan - May 2026.

Exhibit 13: US Treasury: Customs and excise deposits from tariffs



Source: US Treasury, Bloomberg, Morgan Stanley Research

Exhibit 14: Cash withdrawals from the DHS - CBP, as a proxy for tariff refunds



Source: US Treasury, Haver Analytics, Morgan Stanley Research

Tariff refunds represent cash returned to importers when customs duties were previously overpaid or later determined to be refundable, for different reasons including a tariff exclusion or court-ordered refund, or a drawback claim tied to goods that are exported or destroyed. The process generally runs through CBP, where importers or brokers submit the relevant claim and supporting documentation; CBP then reviews eligibility, confirms the entry and status, and certifies approved refunds for payment. In Treasury cash-flow data, we monitor these payments at high frequency through CBP-related withdrawals in the Daily Treasury Statement. We interpret this as a tariff-refund proxy.

2Q GDP tracking 1.7%

With little data over the past week, our 2Q real GDP tracking remained at 1.7%. as did the Atlanta Fed's. The NY Fed measure ticked up to 2.8% from 2.7% at the end of last week.

The Atlanta Fed's total matches ours, but the composition is different. They show stronger equipment investment than we do, but a larger drag from imports. The trade data, in particular for capital goods, are due on July 28, two days before the GDP report, and should help resolve the discrepancy.

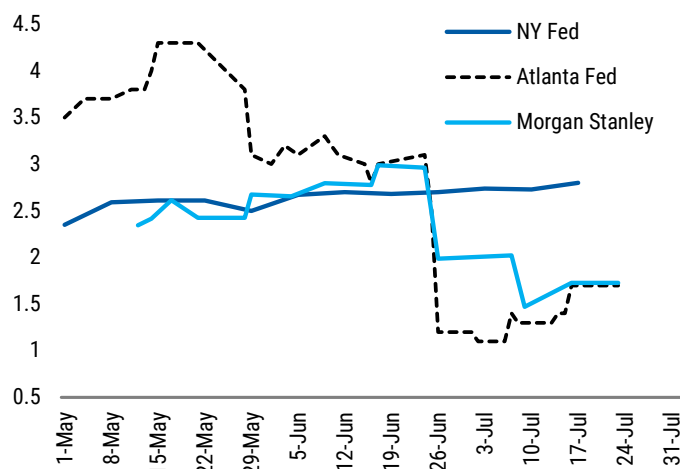
Exhibit 15: The effect of incoming data on our US GDP tracking estimate

Details of Q2 2026 US GDP tracking (% q/q saar unless indicated)													
Date	Data release		GDP	Final sales	PCE	Res	Equip	Struct	IPP	Gov	X	M	NX (level)
12-May	Baseline		2.3	2.3	1.7	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067
14-May	Retail sales	Apr	2.4	2.4	1.8	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067
	Adjustments		2.6	2.8	2.5	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067
21-May	Quarterly Services Survey	1Q	2.4	2.6	2.2	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067
28-May	Post GDP revision	1Q	2.4	2.6	2.2	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1063
29-May	Trade & trade effects on business investment	Apr	2.7	3.0	2.2	1.0	8.0	-3.0	8.0	1.4	13.0	7.5	-1048
4-June	Motor vehicle sales, PCE price estimates	May	2.7	3.0	2.2	1.0	8.0	-3.0	8.0	1.4	13.0	7.5	-1048
9-June	Trade & trade effects on business investment	Apr	2.8	3.1	2.2	1.0	8.0	-3.0	8.0	1.4	13.0	6.5	-1039
16-June	Housing starts and permits	May	2.8	3.1	2.2	0.5	8.0	-3.0	8.0	1.4	13.0	6.5	-1039
17-June	Retail sales	May	3.0	3.4	2.9	0.5	8.0	-3.0	8.0	1.4	13.0	7.5	-1048
24-June	New home sales	May	3.0	3.4	2.9	-0.2	8.0	-3.0	8.0	1.4	13.0	7.5	-1048
25-June	GDP, income, prices, durables		2.5	2.9	1.9	-0.2	8.0	-3.0	8.0	1.4	13.0	6.5	-976
26-June	Trade & trade effects on business investment	May	2.0	2.0	1.9	-0.2	6.5	-3.0	8.0	1.4	15.0	14.0	-1029
7-July	Trade detail	May	2.0	2.2	1.9	-0.2	6.0	-3.0	8.0	1.4	14.0	12.0	-1018
9-July	Reassessment of trade data	May	1.5	1.6	1.9	-0.2	6.0	-3.0	8.0	1.4	9.0	12.0	-1050
16-July	Retail sales	June	1.7	1.9	2.4	-0.2	6.0	-3.0	8.0	1.4	9.0	12.0	-1050
16-July	SPR drag, business inventories		1.7	1.6	2.4	-0.2	6.0	-3.0	8.0	-0.6	9.0	12.0	-1050
GDP tracking			1.7	1.6	2.4	-0.2	6.0	-3.0	8.0	-0.6	9.0	12.0	-1050
Contribution to GDP growth (pp)				1.6	1.6	0.0	0.3	-0.1	0.5	-0.1	1.0	-1.6	-0.6
Morgan Stanley official forecast			2.3	2.3	1.7	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067

Note: Our GDP tracking estimate is distinct from our official published GDP forecast. It reflects the mechanical aggregation of monthly activity data that feed directly into the BEA's calculation. Where data releases have implications for the tracking components, cells have been bolded. Final sales is GDP less inventories. Source: Morgan Stanley Research

Exhibit 16: GDP nowcasts

Real GDP tracking, Q/Q % change, a.r.



Source: Federal Reserve Banks of New York and Atlanta, Morgan Stanley Research

Exhibit 17: Our tracking vs. the Atlanta Fed tracking

	Morgan Stanley		Atlanta Fed		Difference
	q/q%, ar	contrib	q/q%, ar	contrib	
GDP	1.7		1.7		0.0
Final sales	1.6	1.6	1.8	1.8	-0.2
Final sales to dom. purchasers	2.2	2.3	3.1	3.2	-0.9
Private	2.7	2.3	3.3	2.9	-0.5
Consumption	2.4	1.6	2.5	1.7	0.0
Goods	3.5	0.7	4.6	1.0	-0.2
Services	1.9	0.9	1.5	0.7	0.2
Residential investment	-0.2	0.0	1.9	0.1	-0.1
Equipment investment	6.0	0.3	16.6	0.9	-0.5
Nonres structures	-3.0	-0.1	-3.4	-0.1	0.0
Intel. Property	8.0	0.5	6.3	0.4	0.1
Government	-0.6	-0.1	1.8	0.3	-0.4
Exports	9.0	1.0	7.3	0.8	0.2
Imports	12.0	-1.6	16.6	-2.1	0.5
Net exports		-0.6		-1.4	0.7
Inventories		0.0		-0.2	0.2

Source: Federal Reserve Bank of New York, Morgan Stanley Research

Data review & preview

Review of past week's data

Exhibit 18:

Monday 20 July	Data	Period	Forecast	Consensus	Prev	Actual
10:00 AM	Leading Index	Jun		-0.1	0.1	-0.2
Tuesday 21 July	Data	Period	Forecast	Consensus	Prev	Actual
8:15 AM	ADP Weekly Employment Change	4-Jul			19.75	16.5
8:30 AM	Philadelphia Fed Non-Manufacturing Activity	Jul			-25.8	7.4
Wednesday 22 July	Data	Period	Forecast	Consensus	Prev	Actual
7:00 AM	MBA Mortgage Applications	17-Jul				1.9
Thursday 23 July	Data	Period	Forecast	Consensus	Prev	Actual
8:30 AM	Initial Jobless Claims	18-Jul	200	211.0	208	187
8:30 AM	Continuing Claims	11-Jul	1800	1810.0	1805	1796
8:30 AM	Chicago Fed Nat Activity Index	Jun			-0.1	0.0
11:00 AM	Kansas City Fed Manf. Activity	Jul		13.0	11.0	9.0
Friday 24 July	Data	Period	Forecast	Consensus	Prev	Actual
9:45 AM	S&P US Manufacturing PMI	Jul P		54.5	53.9	
9:45 AM	S&P US Services PMI	Jul P		51.5	51.2	
10:00 AM	New Home Sales	Jun	610	606	580	
10:00 AM	New Home Sales m/m	Jun	5.2	4.6	-7.3	
11:00 AM	Kansas City Fed Services Activity	Jul			5.0	

Source: Bloomberg, Morgan Stanley Research forecasts

Preview of upcoming data

Exhibit 19: Monday

Monday 27 July	Data	Period	Forecast	Consensus	Prev
8:30 AM	Durable Goods Orders	Jun P	1.8	1.5	-4.5
8:30 AM	Durables Ex Transportation	Jun P	0.3	0.9	1.4
8:30 AM	Cap Goods Orders Nondef Ex Air	Jun P	0.3	0.9	1.4
8:30 AM	Cap Goods Ship Nondef Ex Air	Jun P	0.4		0.1
10:30 AM	Dallas Fed Manf. Activity	Jul			0.0

Source: Bloomberg, Morgan Stanley Research forecasts

Durable goods orders. Softening capital goods prices in the PPI is probably reflected in some slowing in underlying growth in nominal durable goods orders in June. Headline orders are again boosted by aircraft orders.

Exhibit 20: Tuesday

Tuesday 28 July	Data	Period	Forecast	Consensus	Prev
8:15 AM	ADP Weekly Employment Change	11-Jul			
8:30 AM	Advance Goods Trade Balance	Jun	-107.0	-97.8	-105.8
8:30 AM	Retail Inventories MoM	Jun			0.6
8:30 AM	Wholesale Inventories MoM	Jun P			0.1
9:00 AM	FHFA House Price Index MoM	May			-0.1
9:00 AM	S&P Cotality CS 20-City MoM SA	May			0.0
10:00 AM	Richmond Fed Manufact. Index	Jul			4.0
10:00 AM	Conf. Board Consumer Confidence	Jul		92.0	91.2
10:30 AM	Dallas Fed Services Activity	Jul			2.9

Source: Bloomberg, Morgan Stanley Research forecasts

Trade balance in goods. We expect that stronger real imports of capital goods again drive the deficit wider. The effect on GDP should be about neutral as the GDP import drag on is offset by an equipment investment boost.

Home prices. Home prices accelerated slightly in April, with the national Case-Shiller Index picking up from 0.75% y/y in March to 0.85% in April. Our housing strategists expect further pickup in coming months, with prices ending the year +2% y/y as the pace of existing inventory growth slows.

Exhibit 21: Wednesday

Wednesday 29 July	Data	Period	Forecast	Consensus	Prev
7:00 AM	MBA Mortgage Applications	24-Jul			
2:00 PM	FOMC Rate Decision (Upper Bound)	29-Jul	3.75	3.75	3.75

Source: Bloomberg, Morgan Stanley Research forecasts

FOMC statement and press conference. The question hanging over the July FOMC meeting is whether the Fed will display patience or whether it has run out of patience. We believe the former. At next week's meeting, we expect the Fed to keep the target range for the federal funds rate unchanged at 3.50-3.75%.

The statement probably will be unchanged: reiteration of the "ample reserve" policy, economic activity "expanding at a solid pace despite elevated uncertainty". There's been no major new indication on productivity growth or capex. And the FOMC can still describe the unemployment rate as "changed little", and inflation as "elevated".

Since the last meeting, softer payrolls and a softer CPI report may have reduced the pressure to tighten. But upside risks to rates include persistently high oil prices, a more hawkish Fed reaction function, or stronger AI-driven investment lifting neutral rates.

Please see [July FOMC: A question of patience](#)

Exhibit 22: Thursday

Thursday 30 July	Data	Period	Forecast	Consensus	Prev
8:30 AM	Personal Income	Jun	0.2	0.3	0.7
8:30 AM	Personal Spending	Jun	0.4	0.4	0.7
8:30 AM	Real Personal Spending	Jun	0.4	0.2	0.3
8:30 AM	PCE Price Index MoM	Jun	-0.06	-0.1	0.4
8:30 AM	PCE Price Index YoY	Jun	3.7	3.6	4.1
8:30 AM	Core PCE Price Index MoM	Jun	0.19	0.1	0.3
8:30 AM	GDP Annualized QoQ	2Q A	1.7	2.3	2.1
8:30 AM	Personal Consumption	2Q A	2.4	2.3	0.5
8:30 AM	Core PCE Price Index QoQ	2Q A	3.5		4.4
8:30 AM	Initial Jobless Claims	25-Jul	197k		187k
8:30 AM	Continuing Claims	18-Jul	1.795m		1.796m

Source: Bloomberg, Morgan Stanley Research

2Q GDP. Our forecasts for 2Q show resilience in growth: 1.7% GDP, 2.4% consumption, 5.0% nonresidential private fixed investment. Private domestic final purchases rise at a 2.7% pace, which is a rebound from 1.7% in 1Q and is above the 2.3% pace of the past year. (Please see: [2Q GDP tracking 1.7%](#))

Weakness in government sector spending reflects the drawdown in the SPR—and is offset in private inventories of petroleum, with no net effect on GDP.

We currently estimate a large drag from trade (0.6 pct pt), but the trade report for June

could change that estimate. Much of the drag is the flip side of faster investment in AI-related goods, much of which are imported.

June PCE Prices. We forecast that core PCE rose 0.19% m/m in June (3.3% y/y), while headline PCE declined 0.06% m/m (3.7% y/y). We expect a modest acceleration in core goods inflation, driven by another strong increase in software prices, likely reflecting ongoing AI-related demand pressures. However, this strength should be more than offset by slower services inflation than in May, leading to a slowdown in overall core inflation. Key services categories expected to decelerate include shelter, food services and accommodations, and financial services.

June Personal Income and Spending. We expect real personal spending rose 0.4% m/m in June. Retail sales were strong in June, bringing our goods forecast to 0.4% m/m. We pencil in a 15bp boost to services from World Cup effects, bringing services to 0.3% m/m, though there is a risk some of these effects show up in revisions after QSS rather than in the initial print.

We expect nominal personal income rose 0.2% m/m, with labor income up a stronger 0.4%. There is uncertainty this month around proprietors' income; last month it surged by 4.0% due to payments from the Supplemental Disaster Relief Program. The application for those payments is open through August. We assume most payments went out in May but some went out in June as well, so we pencil in only a partial reversal of last month's gain. In May, this had added 0.3pct pt to personal income growth; in June, we estimate it subtracts 0.2 pct pt., but we see possibility for either an upside or downside surprise there. Real disposable personal income rises 0.2% m/m and the saving rate falls slightly further from 3.0% to 2.8%.

Exhibit 23: Friday

Friday 31 July	Data	Period	Forecast	Consensus	Prev
8:30 AM	Employment Cost Index	2Q	0.8	0.8	0.9
9:45 AM	MNI Chicago PMI	Jul			56.7
10:00 AM	U. of Mich. Sentiment	Jul F			54
10:00 AM	U. of Mich. 5-10 Yr Inflation	Jul F			3.3

Source: Bloomberg, Morgan Stanley Research

Employment cost index. In H2 2025, firms battled tariff-related price pressures by trimming labor costs; their cost cutting was reflected in slower hiring but also perhaps in a couple quarters of softer ECI. 1Q reaccelerated slightly; we expect little change from 1Q in 2Q.

The 0.8% rise that we expect reflects both wages and benefits running at about the same pace as in 1Q. On a fixed-weight basis, we're calculating (private) wages and salaries rose 0.85%—compositional shifts in employment had added about 0.04 pct pt to average hourly earnings over the three months. The 2Q pace is similar to 1Q.

For total ECI, our 0.8% q/q rise translates to 3.3% y/y, a couple tenths slower than in 1Q.

U. of Mich. The final figures from the University of Michigan Survey will pick up the effects of oil prices on sentiment in a way that the preliminary figures did not. About 60% of these final estimates reflect responses given after the preliminary report—important right now as most of the preliminary survey (70%) was collected before oil prices jumped. In the preliminary July survey, 1y inflation expectations fell to 4.2% from 4.4% and long-run inflation expectations were unchanged at 3.3%.

Data calendar

Exhibit 24: July 27 - August 7

<i>Monday</i>	<i>TUESDAY</i>	<i>WEDNESDAY</i>	<i>THURSDAY</i>	<i>FRIDAY</i>
27 Durable Orders (Jun P, 8:30 AM) Dallas Fed Manf. Activity (Jul, 10:30 AM) 2-Year Notes Auction (11:30 AM) 5-Year Notes Auction (1 PM)	28 ADP Weekly Employment Change (Wk of 7/11, 8:15 AM) Advance Trade (Jun, 8:30 AM) Wholesale and Retail Inventories (Jun, 8:30 AM) House Prices (May, 9 AM) Richmond Fed Manuf. (Jul, 10 AM) Conf. Board Cosumer Confidence (Jul, 10 AM) Housing vacancies (2Q, 10 AM) Dallas Fed Services (Jul, 10:30 AM) 7-Year Notes Auction (1 PM)	29 MBA Mortgage Applications (Wk of 7/24, 7 AM) 2-Year FRN Auction (11:30 AM) FOMC Decision (2 PM)	30 Personal Income and Outlays (Jun, 8:30 AM) Jobless Claims (Wk of 7/25, 8:30 AM) GDP (2Q A, 8:30 AM)	31 Employment Cost (2Q, 8:30 AM) MNI Chicago PMI (Jul, 9:45 AM) U. of Mich. Consumer Sentiment (Jul F, 10 AM)
3 S&P Manufacturing PMI (Jul F, 9:45 AM) ISM Manufacturing (Jul, 10 AM) Construction Spending (Jun, 10 AM) Senior Loan Officer Survey (2Q, 4 PM) Omdia Total Vehicle Sales (Jul)	4 Trade Balance (Jun, 8:30 AM) JOLTS (Jun, 10 AM) Durable Orders (Jun F, 10 AM) Factory Orders (Jun, 10 AM)	5 MBA Mortgage Applications (Wk of 7/31, 7 AM) ADP Employment Change (Jul, 8:15 AM) S&P Services PMI (Jul F, 9:45 AM) ISM Services (Jul, 10 AM)	6 Challenger Job Cuts (Jul, 5:30 AM) Productivity and Costs (2Q P, 8:30 AM) Jobless Claims (Wk of 8/1, 8:30 AM) Wholesale Trade and Inventories (Jun, 10 AM) Manheim Used Vehicle (Aug, 9 AM)	7 Employment Report (Jul, 8:30 AM) NY Fed 1-Yr Inflation Expectations (Jul, 11 AM) Consumer Credit (Jun, 3 PM)

Note: For updates post-publication of the Treasury Auction Schedule, see [here](#). Source: Bloomberg, Morgan Stanley Research

US economic outlook

Exhibit 25: Morgan Stanley forecasts

	4Q/4Q % change			Quarterly % change, annual rate (unless otherwise noted)									
	2025A	2026E	2027E	3Q25A	4Q25A	1Q26A	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Real GDP	2.0	2.3	2.6	4.4	0.5	2.1	2.3	2.3	2.5	2.4	2.6	2.6	2.6
Final Sales ¹	2.2	2.2	2.3	4.5	0.3	1.9	2.3	2.2	2.4	2.1	2.4	2.4	2.4
Final Domestic Demand ²	1.8	2.3	2.8	2.8	0.6	2.2	2.2	2.3	2.3	2.6	2.8	2.8	2.8
Final Private Domestic Demand ³	2.4	2.3	3.1	2.9	1.8	1.7	2.4	2.5	2.5	2.8	3.1	3.1	3.2
Personal Consumption Expenditures	2.1	1.5	2.1	3.5	1.9	0.5	1.7	1.9	1.9	1.8	2.2	2.2	2.2
– Goods	1.4	0.8	1.6	3.0	0.3	0.5	0.5	1.0	1.0	1.2	1.7	1.7	1.7
– Services	2.4	1.9	2.3	3.6	2.7	0.5	2.3	2.3	2.3	2.1	2.4	2.4	2.4
Nonresidential Fixed Investment	5.6	7.0	7.9	3.2	2.4	10.6	5.8	5.9	5.9	7.9	7.9	8.0	8.0
– Structures	-5.5	-3.4	2.0	-5.0	-6.5	-4.7	-3.0	-3.0	-3.0	2.0	2.0	2.0	2.0
– Equipment	9.6	9.9	10.5	5.2	4.3	15.8	8.0	8.0	8.0	10.5	10.5	10.5	10.5
– IPP	8.0	9.4	8.0	5.6	5.4	13.8	8.0	8.0	8.0	8.0	8.0	8.0	8.0
Residential Investment	-3.8	-1.3	1.5	-7.1	-1.7	-7.8	1.0	1.0	1.0	1.5	1.5	1.5	1.5
Exports	1.1	3.6	1.8	9.6	-3.2	10.9	0.0	1.0	2.5	1.8	1.8	1.8	1.8
Imports	-1.9	3.9	5.0	-4.4	-1.0	11.8	-0.1	2.0	2.0	5.0	5.0	5.0	5.0
Government	-1.2	2.2	1.3	2.2	-5.6	4.4	1.4	1.4	1.4	1.3	1.3	1.3	1.3
Inventory contribution (pct pts, a.r.)	-0.2	0.1	0.2	-0.1	0.1	0.2	0.0	0.0	0.0	0.2	0.2	0.2	0.2
Trade contribution (pct pts, a.r.)	0.4	-0.1	-0.4	1.6	-0.2	-0.4	0.0	-0.2	0.0	-0.5	-0.5	-0.5	0.0
Nominal GDP (Current \$)	5.4	5.5	4.7	8.3	4.2	5.8	7.5	4.2	4.3	4.9	4.5	4.6	4.9
Nominal Consumption	5.0	4.9	4.2	6.3	4.9	5.2	7.0	3.7	3.6	4.4	3.9	4.0	4.5
Employment & Personal Income													
Civilian Unemployment Rate (%)	4.5	4.3	4.0	4.3	4.5	4.3	4.3	4.3	4.3	4.2	4.2	4.1	4.0
Civilian Labor Force Participation Rate (%)	62.5	61.7	61.6	62.3	62.5	62.0	61.7	61.8	61.7	61.7	61.7	61.6	61.6
Employment to Population Ratio (%)	59.7	59.1	59.1	59.6	59.7	59.3	59.1	59.1	59.1	59.1	59.1	59.1	59.1
Average Monthly Change in Nonfarm Payrolls (Thous.)	10	68	59	23	-39	73	111	42	45	57	60	60	60
Real DPI	1.0	0.8	1.7	1.0	-0.9	0.8	-2.0	2.1	2.3	1.3	1.1	2.5	2.0
Saving rate (%)	3.8	2.9	2.6	4.4	3.8	3.7	2.8	2.8	2.9	2.8	2.5	2.6	2.6
Business Indicators													
Industrial Production	1.5	1.9	2.5	2.1	-2.0	5.4	0.3	0.9	1.1	2.4	2.5	2.5	2.5
Productivity	2.5	1.4	2.1	5.2	1.6	0.3	1.6	1.6	1.9	1.9	2.2	2.2	2.2
Inflation (quarterly % change, a.r.)													
Consumer Price Index				3.1	2.5	3.6	6.1	1.2	1.7	2.4	1.6	1.7	2.6
CPI ex Food & Energy				3.2	2.0	2.8	2.9	1.9	2.4	3.1	1.9	2.3	2.8
PCE Price Index				2.8	2.9	4.6	5.2	1.7	1.6	2.6	1.7	1.8	2.3
PCE ex Food & Energy				2.9	2.7	4.4	3.4	2.2	2.1	3.0	2.0	2.1	2.4
Inflation (4-quarter % change)													
Consumer Price Index	2.7	3.1	2.1	2.9	2.7	2.7	3.8	3.3	3.1	2.8	1.7	1.9	2.1
CPI ex Food & Energy	2.7	2.5	2.5	3.1	2.7	2.5	2.7	2.4	2.5	2.6	2.3	2.4	2.5
PCE Price Index	2.8	3.3	2.1	2.7	2.8	3.1	3.9	3.6	3.3	2.8	1.9	1.9	2.1
PCE ex Food & Energy	2.9	3.0	2.4	2.9	2.9	3.1	3.3	3.2	3.0	2.7	2.3	2.3	2.4
Monetary Policy													
Fed Funds Target (% midpoint of target range)	3.625	3.625	3.125	4.125	3.625	3.625	3.625	3.625	3.625	3.375	3.125	3.125	3.125
Fiscal Policy													
Federal Budget balance (% of GDP)	-5.4	-6.1	-5.8										

1) GDP less contribution from inventory investment

2) GDP less contributions from inventory investment and trade

3) GDP less contributions from inventory investment, trade, and the government sector. (Private final consumption plus investment.)

Source: Bureau of Economic Analysis, Bureau of Labor Statistics, Federal Reserve, Census Bureau, Treasury Dep't, Morgan Stanley Research forecasts

Exhibit 26: Monthly inflation forecasts

	% Change - Year-over-Year				% Change - Month-over-Month				Headline CPI NSA Index
	Headline PCE	Core PCE	Headline CPI	Core CPI	Headline PCE	Core PCE	Headline CPI	Core CPI	
Jan-25	2.6	2.8	3.0	3.3	Jan-25	0.37	0.31	0.43	317.671
Feb-25	2.7	3.0	2.8	3.1	Feb-25	0.40	0.45	0.23	319.082
Mar-25	2.4	2.7	2.4	2.8	Mar-25	0.02	0.10	0.03	319.799
Apr-25	2.3	2.6	2.3	2.8	Apr-25	0.17	0.19	0.16	320.795
May-25	2.5	2.8	2.4	2.8	May-25	0.18	0.23	0.10	321.465
Jun-25	2.6	2.8	2.7	2.9	Jun-25	0.29	0.26	0.25	322.561
Jul-25	2.6	2.9	2.7	3.1	Jul-25	0.17	0.25	0.23	323.048
Aug-25	2.7	2.9	2.9	3.1	Aug-25	0.26	0.22	0.35	323.976
Sep-25	2.8	2.8	3.0	3.0	Sep-25	0.26	0.19	0.30	324.800
Oct-25	2.7	2.8	2.9	2.8	Oct-25	0.19	0.23	0.13	#N/A
Nov-25	2.8	2.8	2.7	2.6	Nov-25	0.22	0.18	0.13	324.122
Dec-25	2.9	3.0	2.7	2.6	Dec-25	0.33	0.33	0.30	324.054
Jan-26	2.9	3.1	2.4	2.5	Jan-26	0.35	0.44	0.17	325.252
Feb-26	2.9	3.0	2.4	2.5	Feb-26	0.40	0.39	0.27	326.785
Mar-26	3.5	3.3	3.3	2.6	Mar-26	0.67	0.30	0.87	330.213
Apr-26	3.8	3.3	3.8	2.7	Apr-26	0.41	0.25	0.64	333.020
May-26	4.1	3.4	4.2	2.8	May-26	0.45	0.32	0.47	335.123
Jun-26	3.7	3.3	3.5	2.6	Jun-26	-0.06	0.19	-0.42	333.952
Jul-26	3.7	3.3	3.4	2.5	Jul-26	0.16	0.21	0.16	334.216
Aug-26	3.7	3.2	3.5	2.4	Aug-26	0.30	0.16	0.43	335.445
Sep-26	3.6	3.2	3.4	2.3	Sep-26	0.17	0.17	0.20	335.982
Oct-26	3.5	3.2	3.2	2.4	Oct-26	0.06	0.18	0.00	335.433
Nov-26	3.4	3.1	3.2	2.6	Nov-26	0.13	0.17	0.12	334.845
Dec-26	3.3	3.0	3.2	2.5	Dec-26	0.20	0.17	0.24	334.579
Jan-27	3.2	2.9	3.2	2.6	Jan-27	0.29	0.37	0.23	336.002
Feb-27	3.0	2.7	3.1	2.6	Feb-27	0.15	0.21	0.14	337.142
Mar-27	2.5	2.6	2.5	2.6	Mar-27	0.20	0.16	0.23	338.538
Apr-27	2.2	2.5	1.9	2.3	Apr-27	0.11	0.16	0.08	339.518
May-27	1.8	2.3	1.5	2.3	May-27	0.12	0.15	0.09	340.355
Jun-27	2.0	2.3	2.0	2.4	Jun-27	0.12	0.15	0.10	340.948
Jul-27	2.0	2.3	1.9	2.4	Jul-27	0.09	0.18	0.05	340.871
Aug-27	1.9	2.3	1.7	2.4	Aug-27	0.20	0.20	0.23	341.458
Sep-27	1.9	2.3	1.8	2.4	Sep-27	0.24	0.20	0.30	342.344
Oct-27	2.0	2.3	1.9	2.5	Oct-27	0.11	0.20	0.08	342.058
Nov-27	2.0	2.4	2.0	2.5	Nov-27	0.20	0.20	0.23	341.807
Dec-27	2.1	2.4	2.1	2.5	Dec-27	0.27	0.20	0.35	341.911

Source: BLS, BEA, Morgan Stanley Research forecasts

US Outlook Scenarios

Exhibit 27: Morgan Stanley US Economics baseline and alternative outlooks for the US Economy: 2026, and 2027

	Aggregate Demand Shock: Animal Spirits (20%)	AI Productivity Boost with Labor Displacement (10%)	De-escalation: Mild Energy Headwind (45%)	Permanent Oil Premium Regime (15%)	Global Oil-Led Recession (10%)
Key Forecasts					
GDP growth	The oil shock abates. Elevated wealth supports consumption and "animal spirits" keep business spending elevated. GDP grows 2.9% in 2026 and 3.1% in 2027, 0.5-1.0pp faster than the baseline.	GDP growth is steady, rising 2.2% 4Q/4Q in 2026 and 2.1% in 2027. Strong business spending is offset somewhat by weaker labor markets and low consumer confidence. Despite softer inflation in 2027, consumer spending stays sluggish as labor displacement mounts.	High oil prices act as a tax on consumption, neutralizing stimulus from higher tax refunds in the OBBA. AI capex spending remains robust. Real growth held back to 2.3% (4Q/4Q) in 2026 before rebounding to 2.6% in 2027.	Oil prices average \$120/bbl in 2026 and \$100/bbl in 2027. Strategic stockpiling occurs amid a repricing of geopolitical risk in oil logistics. Mild demand destruction occurs. Real GDP grows in 3Q and 4Q 2026. Real GDP rises 2.0% in 2026 (4Q/4Q) before a 2.4% rebound in 2027.	Oil prices average \$140-160/bbl through 3Q and end the year at \$100/bbl. Supply shortages ensue, and demand destruction occurs. The result: mild recession with two quarters of negative GDP growth in 3Q and 4Q 2026. Real GDP rises only 0.1% in 2026 (4Q/4Q) before a 2.5% rebound in 2027.
Labor markets	Stronger demand results in tighter labor markets. The unemployment rate falls to 3.9% in 2026 and 3.5% in 2027.	The economy experiences a prolonged period of net zero job creation. The separation rate edges higher, but widespread layoffs are avoided. The unemployment rate creeps higher, rising to 4.8% in 2027, 0.8pp above our baseline outlook.	The "curious balance" continues. Average monthly payroll gains slow to 43k this year and firm modestly to 60k next year. Labor demand remains soft on geopolitical uncertainty. Less immigration means a lower breakeven rate of hiring. The unemployment rate finishes 2026 at 4.3% and 2027 at 4.1%.	The "curious balance" continues. Average monthly payroll gains slow to 30k this year and firm modestly to 50k next year. Labor demand remains soft on geopolitical uncertainty. Less immigration means a lower breakeven rate of hiring. The unemployment rate finishes 2026 at 4.3% and 2027 at 4.2%.	Payrolls fall an average of 30k per month in 2026 with declines near 200k in Q4. In 2027, payrolls rebound, but bring the unemployment rate down slowly. The unemployment rate rises to 5.5% this year and 5.3% next year.
Inflation	Even with the oil shock dissipating, inflation pressures step-up. Headline inflation is 3.7% in 2026 and 2.7% in 2027. Core PCE inflation firms through Q1 '27, prompting Fed hikes, which subsequently slow inflation.	Inflation rises on account of higher energy prices, but weak labor markets and slow wage growth provide offset. Headline inflation peaks at 3.8% y/y in 2Q 2026 – similar to the baseline – and finishes the year at 3.3%. Inflation falls back to the 2.0% target in 2027.	High inflation in 2026 dissipates in 2027. Energy prices push headline PCE inflation to 3.2% 4Q/4Q in 2026. Headline and core PCE decelerate to 2.0% and 2.3% 4Q/4Q in 2027 as the oil shock fades. Energy is a headline story with no second-round effects on core.	Two more years of above-target inflation. Energy prices push headline PCE inflation to 3.8% 4Q/4Q in 2026, while core moves sideways at 3.1% on tariff push and second round effects from the oil shock. Headline and core PCE decelerate to 2.2% and 2.8% 4Q/4Q in 2027 as the oil shock fades.	Headline inflation surges to 5.1% y/y in 3Q 2026 and 4.5% at year-end on elevated oil prices. On weaker demand, inflation decelerates to 1.1% in 2027.
Federal reserve policy	Hikes to counter inflation. The Fed raises rates by 100bp beginning in 4Q 2026 to 4.50-4.75%, more than reversing the 75bp in pre-emptive cuts to support the labor market in 2025.	Labor displacement leads to cuts. Above-target inflation keeps the Fed on the sidelines in 2026, but a rising unemployment rate leads the Fed to cut by 75bp in 2027 to a target range of 2.75-3.0%.	Normalization continues in 2027. Above-target inflation keeps the Fed on the sidelines in 2026, but falling y/y rates of inflation toward 2.0% leads the Fed to cut by 50bp in 2027 to a target range of 3.0-3.25%.	A prolonged pause. Inflation persistence means a high bar for cuts. Tariff effects must prove transitory, and energy-driven inflation must show a clear reversal before cuts are considered. The Fed maintains the target range of 3.50-3.75% through the end of 2027.	The Fed shifts to cuts as downside risks to growth mount. 200bp in 2026 and a terminal of 1.50-1.75%. 100bp of hikes in 2027 for a target range of 2.50-2.75% in 4Q 2027. No QE.
Key Forecasts					
Consumer spending	Better than expected equity market returns and a rebound in labor markets boost consumption to around 3.0% in 2026 and back to near 2.0% in 2027. Upper-income consumers drive much of the spending, but nominal wage growth supports low- and middle-income spending.	Consumption rises 1.6% in 2026 and 1.5% in 2027. High gas prices weaken goods consumption in 2026. Soft labor market conditions and fears of AI displacement make consumers turn cautious in 2027 despite improving real spending power from decelerating inflation.	Consumption slows to 1.8% in 2026 as high gasoline prices weigh on goods spending. A resilient economy supports wealth effects from upper income consumers. In 2027, consumption rebounds to 2.1% 4Q/4Q as inflation decelerates.	Consumption slows to 1.4% in 2026 as high gasoline prices weigh on goods spending. In 2027, consumption rebounds to 2.2% 4Q/4Q as inflation decelerates and a recession is avoided.	Consumption falls from 3Q 2026 to 4Q 2026 before a gradual reacceleration. Households cut back on durable goods spending. Negative wealth effects lead upper-income consumers to pull back, with spillover into broader spending.
Nonresidential fixed investment	Business spending broadens out beyond AI, due to animal spirits and fiscal support.	Similar to the baseline. AI-related spending remains robust, leading nonresidential fixed investment to rise 7.0% in 2026 and 8.0% in 2027. AI adoption rates rise and firms realize productivity gains	AI-related spending remains robust, leading nonresidential fixed investment to rise 7.0% in 2026 and 8.0% in 2027. Sentiment around AI capex is not dented by geopolitical concerns.	AI-related spending remains strong, leading nonresidential fixed investment to rise 6.0% in 2026 and 7.0% in 2027. Sentiment is somewhat dented by geopolitical concerns and elevated energy costs.	A retrenching business sector cuts employment and capex. Investment declines throughout 2H and into Q1 2027, followed by recovery.
Residential investment	Stronger growth is balanced by higher rates in 2026, resulting in still limited housing activity over the forecast horizon.	Housing activity remains sluggish in both 2026 and 2027, despite lower interest rates. Improved affordability is offset by softening labor market conditions.	Housing remains "stuck" due to low affordability and limited inventory. Residential investment falls 1.3% in 2026 and rises 1.5% in 2027.	Housing remains "stuck" due to low affordability and limited inventory. High inflation and no Fed cuts mean higher mortgage rates. Residential investment falls 1.8% in 2026 and is flat in 2027.	Housing activity is weak in 2026 on the back of slower growth and weak labor markets. Activity picks up in 2027 as growth recovers and low rates spur demand.
Net trade	Imports are strong with strong demand, resulting in a larger drag on GDP and a wider trade deficit.	Relative to the baseline, imports are softer. AI-related imports are robust, but imports of consumer goods are more muted on the back of softer household spending. Net trade subtracts 0.2pp from growth in 2026 and 2027.	Imports are strong with strong demand, thus a larger drag on GDP. Imports rise 6.3% in 2026 and 5.0% in 2027. Exports rise 4.1% and 1.8%. After adding 0.4pp to growth in 2025, net trade subtracts 0.4pp from growth in 2026 and 2027.	Imports rise 5.3% in 2026 and 4.0% in 2027. Exports rise 3.0% and 1.0%. Net trade subtracts 0.4pp from growth in 2026 and 2027.	Imports and exports both fall over the next few quarters as demand falls and slow global growth limits export demand. Net trade contributes positively to growth in 2026.
Fiscal policy	Fiscal multipliers are higher than in the baseline, resulting in higher contribution to growth. With stronger growth, fiscal deficits decline. The deficit as a percent of GDP is 5.7% in 2026 and 5.6% in 2027.	Similar to the baseline. A softer labor market means slightly less revenue growth and more automatic stabilizers. The deficit is 6.3% of GDP in 2026 and 2027.	The fiscal impulse in the OBBA is neutralized by higher gasoline prices. The midterm elections bring divided government, leading to budget gridlock and large deficits at about 6.0% of GDP	Higher gas prices more than offset the growth effects of the OBBA. The midterm elections bring divided government, leading to budget gridlock and large deficits at about 6.3% of GDP	Deficits rise further as tax receipts decelerate and automatic stabilizers boost transfer payments. Defense spending picks up. The deficit as a percent of GDP is 6.9% in 2026 and 6.7% in 2027
Credit conditions	Credit conditions loosen somewhat on the heels of stronger growth and animal spirits. Bank lending accelerates.	Credit conditions bifurcate, with willingness to lend to consumers worsening amid solid growth in C&I lending.	The pace of tightening in lending standards has slowed. Geopolitical uncertainty keeps conditions tighter over the course of the year, though we see modest easing over the forecast horizon.	Geopolitical uncertainty keeps conditions modestly tighter over the forecast horizon.	Credit conditions tighten further as the economy contracts. By late this year, the Fed has eased policy enough to encourage some new credit supply but demand remains weak.
Productivity growth	Similar productivity growth as the baseline, even with stronger employment growth.	Similar productivity growth as the baseline, only with greater labor displacement.	Productivity rises 2.1% in 2027. AI capex keeps output per hour elevated in high-tech industries. Productivity gains are from higher output, not less employment.	Productivity rises 1.7% in 2027. Less robust AI-related spending limits productivity growth in the short-run.	With rapid declines in output, productivity falls over the next few quarters. Productivity then begins to recover in 2027.
Consumer and business confidence	Confidence rebounds across the course of the year, and further in 2027.	Labor displacement pushes consumer confidence down further, testing new lows. Business optimism remains elevated.	Confidence of households and business remains near 2022-2023 lows on account of low labor demand, high inflation, and elevated uncertainty.	Confidence of households and business remains near 2022-2023 lows on account of low labor demand, high inflation, and elevated uncertainty.	Recession pushes confidence down further, testing new lows.

Source: Morgan Stanley Research forecasts

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